WAVERLEY GATEWAY GUIDE

Connecting International Capital with Emerging & Frontier Markets

TUNISIA

Africa

Information current as of October 2026

Dialogue | Trust | Partnership

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WHERE AND HOW TO ENTER

KEY INVESTMENT LOCATIONS

Location / Region	Strategic Importance	Priority Sectors
Greater Tunis	Capital and main business centre; the leading destination for foreign investment in 2025 and home to most of Tunisia's ICT, finance and head-office activity	ICT and digital services, financial services, pharmaceuticals
Cap Bon (Mlaabi, Menzel Temime)	Tunisian landing point of ELMED, the 600 MW, €1.42 billion Tunisia–Italy subsea power link that will connect Tunisia's electricity grid directly to Europe	Power transmission, renewable energy, grid services
Southern and central renewables belt (Kebili, Gafsa, Tataouine, Gabès, Kairouan)	Site of more than 2.3 GW of wind and solar projects approved for tender in 2026, alongside the 120 MWp Kairouan plant, Tunisia's largest operating renewable facility	Wind, solar PV, battery storage
Bizerte	Northern port city hosting a 300-hectare free zone with more than 200 companies employing around 25,000 people	Electronics, textiles, agri-food, export manufacturing
Enfidha (Sahel coast)	Planned deep-water port, with updated studies and tenders due to be finalised by end-2026 and an expected 52,000 direct and indirect jobs	Port development, logistics, PPP infrastructure
Gafsa mining basin and Gabès	Centre of the phosphate and fertiliser chain, with output targeted at 4.5 million tonnes in 2026 and 9.4 million tonnes by 2035	Phosphates, fertilisers, chemicals
Zarzis (Médenine)	120-hectare free zone in the south-east, close to the Libyan border and regional trade routes	Textiles, electronic assembly, cross-border trade

INVESTOR ENTRY ROUTES

- Foreign Investment Promotion Agency (FIPA) provides free facilitation, sector guidance and aftercare, with the Tunisia Investment Authority (TIA) supporting investors through administrative procedures
- Investment Law No. 2016-71, allowing 100% foreign ownership in most sectors without prior authorisation, with partial corporate-tax exemptions, investment grants and social-security support in regional development zones
- Investment Code revision under the 2026–2030 development plan, targeting company set-up within 24 hours, a unified digital investor portal and digitised land services

- Bizerte and Zarzis free zones and the totally exporting enterprise regime, offering customs suspension and tax advantages for export-oriented manufacturing
- Central Bank of Tunisia (BCT) foreign-exchange framework: the dinar is not freely convertible, but capital and profits can be repatriated where the investment was financed with imported foreign currency and declared through the BCT's non-resident investment platform
- Private power-generation tenders cleared by the High Committee for Private Electricity Generation, supporting the target of 35% of electricity from renewables by 2030
- Startup Act offering tax exemptions and easier access to foreign currency for qualifying young technology companies

MARKET-ENTRY OBSERVATION

Tunisia in October 2026 offers a steady recovery, a deep industrial base closely integrated with Europe and growing foreign investor interest. GDP grew 2.5% in 2025, up from 1.6% in 2024, and 2.4% in the first half of 2026, led by agriculture, services and construction. Foreign investment rose 30.3% in 2025 to 3.5 billion dinars (about $1.2 billion), with industry taking 62.6% and France, Germany and Italy the leading sources, and international investment rose a further 11.5% to about 1.93 billion dinars in the first half of 2026. Some 4,296 foreign companies now operate in the country, concentrated in automotive components, aeronautics, electronics, pharmaceuticals and technical textiles. Investment Law No. 2016-71, a planned Investment Code revision targeting 24-hour company creation, and more than 2.3 GW of renewable-energy tenders in 2026 point to a widening opportunity set.

Tunisia's main structural challenge is fiscal and external financing. Public debt stood at 82.1% of GDP at end-2025 and the government has relied substantially on domestic and central-bank financing rather than an IMF programme, while energy imports have widened the trade deficit. Tunisia has managed this with discipline and resilience: Fitch affirmed its B- rating with a stable outlook in September 2026, reserves stood at 23.6 billion dinars (92 days of imports) in early October, and tourism receipts and workers' remittances of more than 13.2 billion dinars to end-September covered 142% of external debt service. The energy gap is itself a major opportunity, with the ELMED link to Italy and a national goal of 35% renewable electricity by 2030 creating demand for private investment in generation, storage and grids.

INVESTOR RISK & MARKET ACCESS

KEY ENTRY BARRIERS

Issue	Potential Impact	Possible Mitigation
Public finances and debt	Public debt was 82.1% of GDP at end-2025 and Fitch projects a 6.4% of GDP deficit in 2026, with the state relying heavily on domestic banks and the central bank	Structure projects around export revenues or DFI co-financing; fiscal pressure is also driving demand for private capital through PPPs and independent power projects
External financing without an IMF programme	Tunisia has pursued a self-financed path, with reserves of 92 days of imports in October 2026 and a B- (stable) Fitch rating	Strong tourism and remittance inflows cover external debt service comfortably; investors can use DFI participation and political-risk insurance for larger projects
Foreign-exchange controls	The dinar is not freely convertible and transfers outside the declared-investment framework need BCT authorisation	Bring capital in as imported foreign currency and declare it on the BCT platform to secure repatriation rights; free-zone and fully exporting firms enjoy more flexible regimes
Administrative procedures	Regulatory and administrative delays are cited by investors, particularly for licences and land	Use FIPA and TIA support; the planned Investment Code revision and digital investor portal aim to cut set-up times sharply
Energy import dependence	Natural gas generated about 91% of electricity in 2025 and the energy bill is the main driver of a trade deficit that widened 25.7% to end-July 2026	This gap underpins a 2.3 GW renewables tender pipeline and the ELMED interconnector, offering long-term opportunities in generation, storage and grids
Phosphate output below potential	Output is targeted at about 4.5 million	Investment of an estimated 2.7 billion

Issue	Potential Impact	Possible Mitigation
	tonnes in 2026, well below the 9.4 million tonnes planned by 2035	dinars in extraction and processing creates openings for equipment, services and downstream partners
Labour-market conditions	Unemployment eased to 14.9% in Q2 2026, reflecting a large available workforce	A deep pool of skilled engineers and technicians, including some 40,000 in ICT, supports competitive near-shoring operations for European markets

INVESTOR RISK NOTE

Tunisia's risk profile reflects an economy with a diversified, Europe-integrated industrial base, a skilled workforce and steady recovery, set against high public debt and a constrained external financing position. The government has chosen to finance itself largely from domestic sources rather than through an IMF programme, and Fitch's affirmation of a B- rating with a stable outlook in September 2026, alongside reserves of 92 days of imports and tourism and remittance inflows covering 142% of external debt service, indicates that this approach has so far been managed. Inflation of 5.6% in September 2026 and a 7% policy rate imply relatively high local borrowing costs, and foreign-exchange controls require careful structuring. Investors who bring capital in as declared foreign currency, earn export revenues, partner with development finance institutions and use FIPA and TIA support are well placed to benefit from Tunisia's competitive costs and proximity to Europe.

MARKET ACCESS

Tunisia's market access is anchored in its Association Agreement with the European Union, under which free trade in industrial goods has been fully in place since 2008; the EU took 70.4% of Tunisian exports in the first half of 2026, led by France, Italy and Germany. Tunisia has been a WTO member since 1995 and is also a party to the Agadir Agreement with Egypt, Jordan and Morocco, the Arab Maghreb Union and bilateral agreements with Algeria and Libya. Its ratification of COMESA accession in 2019 and of the African Continental Free Trade Area (AfCFTA) in 2020 open routes into wider African markets, where exports to Egypt more than doubled in the first half of 2026. Proximity to southern Europe, supported in future by the ELMED power link to Sicily and the planned Enfidha deep-water port, makes Tunisia a natural near-shoring platform serving both Europe and Africa.

WHO SHOULD THE INVESTOR MEET?

INSTITUTIONAL LANDSCAPE

Actor	Why It Matters	Waverley Engagement Angle
Presidency of the Republic (President Kais Saied) and Prime Minister Sarra Zaafrani Zenzri	Set national economic direction, including the 2026–2030 development plan and the emphasis on domestic financing	Primary reference point for understanding Tunisia's strategic and policy priorities
Foreign Investment Promotion Agency (FIPA)	National investment promotion agency and organiser of the annual Tunisia Investment Forum	Standard first point of contact for market entry, sector intelligence and aftercare
Tunisia Investment Authority (TIA)	Supports investors with administrative procedures and larger investment projects under the 2016 Investment Law	Key counterpart for incentive applications and project facilitation
Central Bank of Tunisia (BCT)	Sets monetary policy (7% policy rate) and administers the Foreign Exchange Code and investment declarations	Essential for structuring capital inflows and securing repatriation rights
Higher Investment Commission	Approves foreign participation above 50% in non-exporting service activities and other projects requiring authorisation	Relevant for service-sector entry and large or strategic projects
STEG (Tunisian Company of Electricity and Gas)	National utility, co-lead of the ELMED interconnector with Italy's Terna and offtaker for private renewable projects	Central partner for power, renewables and grid investment
Gafsa Phosphate Company (CPG) and Tunisian Chemical Group (GCT)	State companies leading phosphate extraction and processing and the	Key counterparts for mining equipment, services and downstream processing

Actor	Why It Matters	Waverley Engagement Angle
	expansion programme to 2035	partnerships

CURRENT INTERNATIONAL BUSINESS CHANNELS

FIPA's annual Tunisia Investment Forum is the leading investor gathering; its 22nd edition in June 2026, held with the African Development Bank, drew around 1,200 participants from more than 30 countries. The national employers' union UTICA and bilateral chambers of commerce, notably those linked to France, Italy and Germany as the largest investing countries, provide practical networks for market entry. Development finance institutions are active across infrastructure and energy: the European Union (through the Connecting Europe Facility), the World Bank, the European Investment Bank, the EBRD and KfW all support the ELMED interconnector, while the African Development Bank is a long-standing partner. The large community of European manufacturers already operating in Tunisia is a valuable source of practical intelligence on operating conditions.

INVESTOR PROFILE BEST SUITED

Tunisia best suits investors seeking a competitive, Europe-adjacent production base: automotive-component, aeronautics, electronics, pharmaceutical and technical-textile manufacturers using the free-zone and totally exporting regimes to serve EU customers; renewable-energy developers and storage and grid specialists targeting the 2.3 GW tender pipeline and ELMED; ICT and outsourcing firms drawing on a skilled engineering workforce; and infrastructure and mining investors engaging with the Enfidha port and phosphate expansion programmes. Export-oriented investors with foreign-currency revenues and development-finance partners are best placed to manage the foreign-exchange and financing environment.

FROM INTELLIGENCE TO ENGAGEMENT

STEP 1: Engage FIPA and the Tunisia Investment Authority early
Open dialogue with FIPA and the TIA to confirm sector incentives under Investment Law No. 2016-71 and track the forthcoming Investment Code revision.

STEP 2: Structure capital flows to secure repatriation rights
Bring investment in as imported foreign currency and declare it through the BCT's non-resident investment platform, taking local advice on the Foreign Exchange Code.

STEP 3: Assess free-zone and totally exporting options
Compare the Bizerte and Zarzis free zones and the totally exporting enterprise regime for export manufacturing aimed at EU markets.

STEP 4: Position for the renewables and interconnection pipeline
Follow the 2026 wind and solar tenders and ELMED's progress, and engage STEG and DFIs on co-financing and offtake structures.

STEP 5: Use the Tunisia Investment Forum and DFI networks
Attend FIPA's annual forum and connect with the EBRD, EIB, World Bank and African Development Bank to identify co-investment and risk-mitigation options.